2027 Capital Markets & M&A; Outlook — Coverage Sector Views

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Macro Backdrop

Our base case assumes the policy rate settles near 3.25% by mid-2027, IG credit spreads remain tight (+95–110bps), and equity volatility normalises. Equity capital markets issuance is expected to rise ~20% YoY led by healthcare and energy transition; IG bond issuance is forecast flat at elevated levels due to a large 2027 maturity wall.

Healthcare / Biotech

Biotech financing windows are open but highly catalyst-driven. Convertible notes have regained share (35% of biotech follow-on volume in 2026) as issuers seek to limit dilution. Licensing deals with Asian pharma partners have accelerated, with average upfronts of $180M for Phase 3 assets. MASH remains one of the most active therapeutic areas for partnering.

Industrials / Logistics

Freight volumes are recovering after a two-year downturn. Strategic buyers are targeting cold-chain, temperature-controlled and pharma logistics assets, which trade at 11–13x EBITDA versus 7–9x for general freight. Activist campaigns in transport have doubled in 2026, typically targeting conglomerate discounts and capital returns.

Power & Renewables

Data-center electricity demand is the dominant theme. Hyperscalers signed record PPA volumes in 2026 and increasingly seek equity partnerships in dedicated generation. Hybrid capital issuance by utilities reached a record $28B in 2026. Minority stake sales of operating renewables portfolios are clearing at 8.5–10x EBITDA.

Implications for Coverage Bankers

Prioritise: (1) pre-positioning financing for catalyst-driven biotech clients, (2) combining M&A; with acquisition financing for industrials clients, and (3) hybrid capital and capital recycling ideas for power clients. Always pair ideas with rating-agency impact analysis.